

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

BED BATH & BEYOND INC., *Complainant*

v.

YANG MING MARINE TRANSPORT CORP., *Respondent*.

DOCKET NO. 23-10

Served: July 16, 2026

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON MOTION TO REOPEN RECORD AND TO SUBMIT SUPPLEMENTAL INFORMATION

Complainant Bed Bath & Beyond Inc. (“BBBY”) filed a complaint in September 2023 alleging that Respondent Yang Ming Marine Transport Corp. (“Yang Ming”) violated 46 U.S.C. §§ 41102(c), 41104(a)(2), 41104(a)(10), 41102(d), and 46 C.F.R. § 545.5. Because of the complexity of this case and the volume of documents exchanged between the parties, multiple discovery and briefing extensions were granted throughout this proceeding. Ultimately, discovery closed on January 24, 2025, and briefing was completed on April 7, 2025. The parties were then ordered to refile a joint motion for confidential treatment and to re-submit both public and confidential versions of their briefs, proposed findings of fact and responses to proposed findings of fact, and appendices, with confidential information properly marked, which were timely resubmitted on May 28, 2025.

While the government was shut down during a lapse in appropriations, Yang Ming submitted a motion to reopen the record and supplement briefing (“Motion to Reopen”); the motion was treated as filed on November 13, 2025, when the government reopened. Yang Ming asserted that “the lion’s share of the bills of lading for which claim is made in the instant proceeding are identical” to bills of lading pointed to for reparations in another of BBBY’s cases filed against Evergreen Line Joint Service Agreement, Docket No. 24-12. Motion to Reopen at 4. Yang Ming further argued that “a complainant cannot collect the same damages from multiple respondents.” Motion to Reopen at 6. An initial decision has not yet been issued in Docket No. 24-12. BBBY opposes Yang Ming’s motion to reopen the record and supplement briefing, arguing that the motion “does not present any new evidence or law that was not available to Yang Ming during the extensive discovery and briefing phase of this proceeding.” Opposition to Motion to Reopen at 1. On December 12, 2025, an order issued holding Respondent’s motion in abeyance.

Subsequently, in April 2026, an initial decision was issued in another BBBY case, 20230930-DK-BUTTERFLY-I, Inc. v. Orient Overseas Container Line Ltd., Docket No. 23-02, 2026 WL 1285696 (ALJ Apr. 24, 2026) (“BBBY v. OOCL”). In this initial decision, BBBY was

awarded total reparations of \$45,600,599.25, including an award of \$19,555,270.50 for its shortfall volume in the 2021-22 shipping year. *Id.* at *2, *169-70, *176. This 2021-22 shipping year shortfall reparations award was based in part on BBY expert John McCown's report, which identified "actual shipments undertaken by BBY to cover shortfalls" during the BBY/OOCL 2021 service contract, on trade lanes covered by that service contract, using non-vessel-operating common carriers or freight forwarders (combined "NVO/FFs"). *Id.* at *12. Specifically, the 23-02 McCown Appendix B-1 contained "detailed shipment data for each shipment, including: date of departure, date of discharge, bill of lading number, carrier, port of loading, port of discharge, the container size, the carrier total fee, and the total per container," for the 2021-22 shipping year, with the replacement shipments using NVO/FFs listed in Appendix B-1 adding up to 1,363.875 FEU. *Id.* at *83-84. The 23-02 McCown report also included at Appendix B-2 "the precise number of container shipments within the data set presented, for each specific port pair," while Appendix B-3 provided "a calculation of the but-for freight expenses over the same routes and [using] the same container size rate, for the 2021 service contract," and Appendix B-4 summarized the additional incremental expenses as a result of the shortfall. *Id.* at *83-4. The B-1 through B-4 McCown report appendices in 23-02, found in the 23-02 complainant's appendix at APP 3810-44, shall hereafter be referred to as the "23-02 McCown Appendices."

In the present proceeding, BBY has also alleged shortfall damages for the 2021-22 shipping year, based on a report also prepared by BBY expert McCown, which contains similarly formatted appendices supporting shortfall damages in Appendices A-1 through A-4 ("23-10 McCown Appendices"). APP 1240; APP 1284-1309. Specifically, in this proceeding's Appendix A-1, there is a listing of "actual shipments undertaken by BBY during the 2021 service contract year on lanes covered by the [BBY/Yang Ming] 2021 Service Contract using NVOs or freight forwarders." APP 1284-1304. The shipments listed in this proceeding's Appendix A-1, per the McCown report's summary, equal 851.75 FEU. APP 1284. BBY's Appendix A-2 in the current proceeding then shows the number of containers, by container size, shipped by lane; Appendix A-3 purports to show "how much BBY would have paid if it had shipped each of the loads referenced in Appendices A-1 and A-2 via Yang Ming at the freight rates specified in the 2021 Service Contract, instead of via high-priced NVOCCs;" and Appendix A-4 "summarizes the impact of the data set forth in Appendices A-1 through A-2" showing the resulting claimed incremental expenses due to the shortfall. APP 1305-09.

In this proceeding, per the May 28, 2025, Consent Motion for Confidential Treatment ("May Confidentiality Request"), BBY has asserted as confidential certain "Info indicated" from the McCown report, which runs from APP 1284-1326. May Confidentiality Request at 1. Therefore, only non-redacted information contained within the revised public version of Complainant's appendix will be referenced in this order, so as not to include information potentially asserted to be confidential. Then, comparing the public version of the 23-02 McCown Appendices to the public version of the 23-10 McCown Appendices, it is evident that the shipments presented by BBY contain overlapping port pairs. *Compare* 23-02 McCown Appendix B-2 *with* 23-10 McCown Appendix A-2. As just a handful of examples, both in the 23-02 McCown Appendices and in the 23-10 McCown Appendices, the shipments submitted to cover the alleged 2021-22 shipping year shortfalls include port pairs: Nhava Sheva to New York; Ningbo to Los Angeles; Ningbo to Savannah; Shanghai to Los Angeles; and Tuticorin to New York, among other overlaps. There being overlapping port pairs over the same time period does

not necessarily mean that the same shipments have been included as replacement shipments across 23-02 and the present case, but it does present the possibility of such overlap. Also of note, however, there are port pairs in the 23-10 McCown Appendices which do *not* appear in the 23-02 McCown Appendices, including shipments from: Laem Chabang to New York; Qingdao to New York; and Semarang to New York, among other non-overlaps. Presumably, none of these port pair shipments could have already been included in 23-02 reparations, therefore, there are at least some shipments offered in BBBY's shortfall analysis in this proceeding that were not already offered in support of shortfall reparations in BBBY's 23-02 claim. As noted, BBBY has already been compensated for shipments listed in the 23-02 McCown Appendices, so the impact of potential overlapping shipments may be relevant to calculations in the current proceeding once a determination on the merits is made.

The issue of potential double recovery by BBBY was not yet ripe at the time Respondent's motion was filed, because there had not yet been damages awarded to BBBY in any of the relevant cases before the Federal Maritime Commission. Now, reparations have been awarded for the entire 1,363.875 FEU of shipments identified in Appendix B-1 of the 23-02 McCown Appendices. *BBBY v. OOCL*, 2026 WL 1285696, at *85 (holding that "as it has been determined that BBBY is entitled to shortfall damages . . . up to the contract shortfall of 1,827.50 FEU for the 2021 service contract, the excess costs for the entire shipment volumes identified in the McCown report (of . . . 1363.875 FEU in 2021) are appropriately compensable to BBBY."). Thus, whether any of these same shipments have been relied on in support of reparations here may be relevant if reparations are due.

Commission Rule 25 generally gives the presiding officer the authority to regulate proceedings before him or her, including the authority to dispose of any matters that normally and properly arises in the course of a proceeding. *See* 46 C.F.R. § 502.25.

For the foregoing reasons, Complainant is directed to supplement the record by answering the questions set forth below, and Respondent may also respond as set forth below. Complainant's answers should be received no later than August 14, 2026, and Respondent's response, if any, should be received no later than August 28, 2026. The failure to answer these questions or produce the requested information may impact the availability and calculation of reparations should they be due.

To the extent necessary, the parties may file both confidential and public versions of their responses. If a confidential version is required, this also should be accompanied by a motion for confidentiality. The parties are cautioned, however, that they should take care not to over-designate confidential information, particularly concerning total reparations sought and related damages calculations. *See, e.g.*, APP 1309 (asserting as confidential the dollar figures corresponding to the cost of NVO freight on impacted lanes, the but-for cost, and the alleged excess cost to BBBY based on the shortfall claimed).

Requests for Information Directed to Complainant:

1. How many distinct shipment entries (i.e. rows of data) were included in this proceeding's McCown Appendix A-1? Also confirm that the shipments in this proceeding's Appendix A-1 sum to 851.75 FEUs.

2. Out of the total distinct shipment entries (i.e. rows of data) included in this proceeding's McCown Appendix A-1, how many shipments had also been included in the 23-02 McCown Appendix B-1? Please specify both in terms of the number of distinct shipment entries (i.e. rows of data), and also specify the FEU sum, with respect to shipments that had been cross-listed in 23-02's McCown Appendix B-1.
3. Create a chart, labeled as Appendix A-1(a), which lists all of the rows and columns of data contained in this proceeding's McCown Appendix A-1, and with one additional column added that will indicate 'Included in 23-02 App. B-1, Yes or No' and filling in 'Yes' or 'No' for each row of data.
4. Create and provide a supplemental chart, labeled as Appendix A-1(b), replicating this proceeding's Appendix A-1, but with all of the entries that had been cross-listed in 23-02's McCown App. B-1 omitted. For example, if there had been 475 rows of shipment data, summing to 851.75 FEUs in this proceeding's original McCown Appendix A-1, and if 300 of those rows of shipment data had also been included in 23-02's McCown Appendix B-1, then there should only be 175 rows of data in the end Appendix A-1(b). Also include a sentence on the top of the supplemental chart, Appendix A-1(b), stating "The shipments in this chart sum to xxx FEUs," filling in the accurate FEU number where xxx's are indicated.
5. Create and provide a supplemental chart, labeled as Appendix A-2(b), replicating this proceeding's Appendix A-2, but summarizing only the shipment data contained in the new Appendix A-1(b).
6. Create and provide a supplemental chart, labeled as Appendix A-3(b), replicating this proceeding's Appendix A-3, but based only on the shipment data contained in the new Appendix A-1(b) and Appendix A-2(b).
7. Create and provide a supplemental chart, labeled as Appendix A-4(b), replicating this proceeding's Appendix A-4, but summarizing only the data set forth in supplemental charts Appendix A-1(b) through A-3(b).
8. Complainant should include unique APP bates numbers, which have not previously been used, on each page of the supplemental charts requested above, so that these pages may be clearly referenced.
9. If desired, discuss why shipments being included in the 23-02 McCown Appendices, for which reparations have already been granted, should or should not preclude these shipments being utilized in support of reparations for 23-10 shortfall damages. Such discussion (and any response thereto by Yang Ming) shall be limited to ten (10) pages.

Yang Ming may respond to BBY's submissions, if desired, no later than August 28, 2026. Yang Ming should confine its response to addressing the material submitted by BBY pursuant to the above and should not reargue the motion.

A larger reopening of the record – beyond the submission of the information required above – is not warranted here, because Respondent has already had ample opportunity to investigate the McCown expert report offered in this proceeding, including through deposing Mr. McCown, and making resulting arguments in briefing. Likewise, BBY has already had a fulsome opportunity to present its reparations data, during the discovery and briefing phases of this proceeding.

Accordingly, it is hereby **ORDERED** that Respondent's November 13, 2025, motion to reopen the record and supplement briefing is **GRANTED IN PART** and **DENIED IN PART**. In addition, it is hereby **ORDERED** that Complainant shall respond to the above request for information by August 14, 2026, and Respondent's response, if any, should be received no later than August 28, 2026.



Linda S. Harris Crovella
Administrative Law Judge